

European Airlines

European Airlines: Ryanair Rising, Part V. Deep dives on unit cost, locked down for years to come



Alex Irving, CFA
+44 20 7676 7044
alex.irving@bernsteinsg.com



Antoine Madre
+33 1 58 98 74 52
antoine.madre@bernsteinsg.com

Ryanair has built its business on one fundamental tenet above all others: control of unit cost. The lowest unit cost is one of two possible sources of competitive advantage in this industry (the other being a superior network that enables high unit revenue). While many other “low cost” airlines have added expense in an attempt to move upmarket, Ryanair has not, and is unquestionably the now standard bearer for the cost minimization model in airlines globally. The company is locking down its cost advantage for years to come, with the addition of the MAX-10, a CFM deal that supports bringing engine maintenance in house, and high levels of discipline on staff productivity and airport costs.

The MAX-10: Ryanair’s upgauging story is finally here. Airbus narrowbody operators are largely getting two sources of unit cost reduction in the technology upgrade from ceo to neo. More efficient engines (LEAP-1A, GTF) consume less fuel than the previous generation (CFM 56, V2500). The planes are also larger: maximum density of an A321neo is 244 seats, vs 180 on the A320ceo. Both meaningfully reduce cost. Ryanair’s 737-8200 improved fuel efficiency vs the 737-NG (LEAP-1B vs CFM 56) but with only a 4% increase in gauge, from 189 seats to 197. Its MAX-10 has 228 seats. We see the 737-8200 as offering a 7% lower CASK than the NG, but the MAX-10 offering a 14% lower CASK. This starts to arrive in 2027 and will be the largest share of the fleet by the mid-2030s.

MRO insourcing: we estimate 23% IRR. Ryanair has long done its airframe maintenance in-house, and CFM has done the engine overhauls. Earlier this year, Ryanair signed a 15-year deal with CFM to supply it with parts for its engine shops. We expect this deal to mean that Ryanair experiences a lower rate of maintenance cost inflation than peers, while also being insulated from the battle for tight MRO capacity that other airlines are likely to have to contend with. Over 15 years, we estimate the IRR on this investment to be 23%.

Labor costs: razor-sharp productivity. Ryanair remains disciplined in other controllable areas of non-fuel costs. High labor productivity is evident: Ryanair’s 43 employees per plane compares favorably with easyJet’s 54. While Wizz and Vueling have even fewer employees per plane, Ryanair insources more of its activity. The company has also started to do its next round of union deals, with the largest country (Italy) already complete.

Airport costs: you compete for me. On airport costs, Ryanair’s network flexibility leaves it able to take planes out of markets with high costs, and allocate them to markets where lower costs offer a better use of capital. This year we have observed this for example with a reduction in planes in the Spanish regions, and more allocation to the enlightened Sweden and Albania. Ryanair’s footprint of more than 80 bases and 200 airports allows it to flexibly reallocate aircraft; airports end up competing for Ryanair’s business.

Investment implications. Ryanair has built one of the world’s highest-ROIC airlines on cost minimization. It has stayed remarkably disciplined here, even as other “low-cost” airlines take on more of a hybrid strategy. The company is locking down its cost for the years ahead: the MAX-10, MRO insourcing, CFM parts deal and flexible capital allocation should see cost advantages preserved and strengthened.

INVESTMENT IMPLICATIONS

Ryanair's Cost Mastery: The data speak for themselves. Ryanair has been Europe's most successful airline and its biggest growth driver this century. It adopted the low-cost aviation model in the early 1990s. Since then, it has driven costs and fares down, and passenger volumes up, with a 19% CAGR in passengers from its IPO in 1997 to pre-pandemic. **Ryanair refined the low-cost aviation model, building on, and arguably perfecting, Southwest's original principles.** Its focus on **high productivity, low-cost airports, a single fleet, and point-to-point routes** has resulted in extremely low unit costs, comparable only to Wizz Air in Europe. In 2025, one in five intra-European seats was a Ryanair one. Its **scale enhances negotiating power with suppliers**, and provides resilience against localized disruptions. Even with slowing growth, high staff productivity helps maintain low costs, ensuring the business model remains resilient.

Deep dive on unit cost: We see the MAX-10 delivering a 14% CASK advantage vs the 737-NG, and a 7% advantage vs the MAX-8200. Ryanair's fleet renewal program is set to deliver meaningful cost benefits. The airline should begin receiving the Boeing 737 MAX-10 in Spring 2027. Our analysis of the aircraft types in Ryanair's fleet suggests that, **relative to the current 737-NG and MAX-8200 fleets, the MAX-10 should deliver CASK reductions of 14% and 7%, respectively.** Specifically, we estimate that the MAX-10 will achieve 27% lower fuel costs, 11% lower personnel costs, 1% lower airport charges, 12% lower navigation charges and 17% lower maintenance costs per ASK than the 737 NG. Depreciation per ASK is likely to be slightly higher as aircraft acquisition costs continue to rise. These benefits are **mainly driven by the MAX-10's larger seating capacity and next-generation technology**, reinforcing Ryanair's cost leadership position.

Deep dive on unit cost: the CFM deal. I: The deal. Maintenance costs are currently elevated across the airline industry, reflecting tight maintenance capacity, inflation in the cost of parts and labor, and greater maintenance requirements for next-generation aircraft. To mitigate further cost increases, Ryanair has **signed a long-term agreement with CFM** that combines fleet support with the progressive insourcing of engine maintenance. Under the deal, **CFM will remain Ryanair's exclusive supplier of engine parts for its growing fleet of LEAP-1B engines**, with **annual parts purchases expected to exceed \$1bn** once the airline reaches around 800 aircraft and approaches 2,000 engines. At the same time, **CFM will support the development of two new Ryanair engine facilities in Europe** (one scheduled for end-2028 and the other during 2029), enabling maintenance activities to gradually transition from third-party facilities to Ryanair's own shops.

Deep dive on unit cost: the CFM deal. II: economics. We estimate the benefit of Ryanair's CFM agreement by modeling future LEAP shop visits based on fleet growth, aircraft utilization and engine maintenance cycles. We then compare an **insourced model**, which requires around €1.5bn of shop investment but **benefits from higher productivity, lower spare-engine needs and better cost control**, with an outsourced PBH model, where maintenance inflation remains higher, cost control is lower, and there must be a consideration for the profit margin of the third party MRO. While both scenarios generate costs of around €1bn through 2029-33, the gap widens over time as outsourcing costs exceed €2.5bn versus below €2bn for insourcing. Overall, **we estimate the deal creates a 23% IRR**, and unlocks €0.5-0.8bn of cumulative savings over time, driven mainly by lower parts inflation, productivity gains and reduced spare-engine requirements.

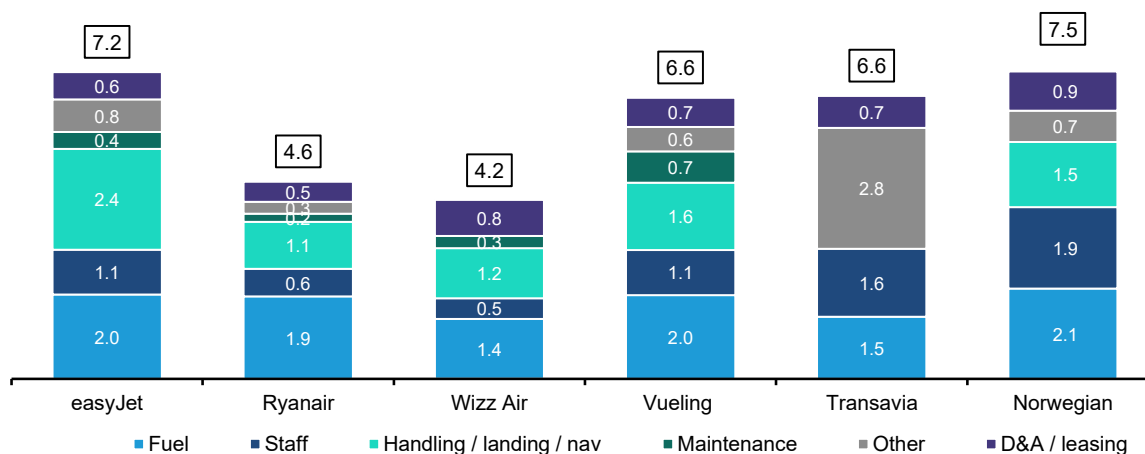
Deep dive on unit cost: Labor cost under control, today and in the future. Labor is one of the most significant costs for airlines. Ryanair's **labor cost benefits from high employee productivity, a single-type fleet, and a pay model largely linked to role, activity and base location** rather than binding Ryanair to automatic annual increases. Its **diversified network and multinational workforce reduce the operational threat from local labor disputes** that periodically impact legacy airlines, while **renewals of collective labor agreements have begun**, including in Ryanair's largest country (Italy), reinforcing industrial relations stability. Combined with continued growth and high aircraft utilization, **these factors should help Ryanair maintain its structural labor cost advantage**, and we see little that would materially undermine the business model.

Deep dive on unit cost: Airports incentives are here to stay. Airport and handling charges are the third major component of operating costs. **Ryanair enjoys the lowest airport costs per ASK in Europe**, benefiting from **attractive airport incentives**, a focus on **less congested airports**, and **strong bargaining power** derived from its scale and ability to stimulate passenger traffic. Moreover, its extensive network allows it to **redeploy capacity quickly to airports and countries offering the most attractive economics**, strengthening its negotiating position. Ryanair has recently been shifting capacity away from higher-cost markets such as France, Belgium and Germany towards lower-tax and more airport-friendly countries including Italy, Sweden, Hungary, Slovakia and Albania. Combined with its history of counter-cyclical expansion into the markets of weaker competitors, this creates a **virtuous circle: more seats generate more traffic**, which in turn **attracts greater incentives and reinforces Ryanair's airport cost advantage**.

KEY EXHIBITS

EXHIBIT 1: **Ryanair and Wizz Air stand as unrivaled champions of low unit cost**

European point to point airlines CASK, 2025, €ct



Source: Company reports, Bernstein analysis

EXHIBIT 2: **In our assessment, the MAX-10 offers a c. 17% lower CASK than the 737-NG, a clear cost tailwind for Ryanair**

Cost comparison of Ryanair narrowbodies

Modelling assumptions					
Fuel price (EUR/MT)	800				
Flight length	1,300km				
Annual flights / day	5.0				
Aircraft assumptions	737-NG	737-8200	737 MAX 10		
MTOW	79.0	82.6	89.8		
Fuel burn / hour (MT)	2.8	2.4	2.5		
Speed (kph)	800	800	800		
Other assumptions	737-NG	737-8200	737 MAX 10	MAX 10 vs 8200	MAX 10 vs NG
Seats	189	197	228	+16%	+21%
ASK per flight	245,700	256,100	296,400	+16%	+21%
Metrics per ASK	737-NG	737-8200	737 MAX 10	MAX 10 vs 8200	MAX 10 vs NG
Fuel	1.8	1.4	1.3	-10%	-27%
Staff	0.7	0.7	0.6	-7%	-11%
Airport charges	0.6	0.6	0.6	-1%	-1%
Navigation charges	0.5	0.5	0.4	-10%	-12%
Maintenance	0.2	0.2	0.2	-14%	-17%
Selling costs	0.1	0.1	0.1	0%	0%
MD&O costs	0.4	0.4	0.4	0%	0%
D&A	0.4	0.4	0.4	-6%	+3%
Comparison in EUR	737-NG	737-8200	737 MAX 10	MAX 10 vs 8200	MAX 10 vs NG
CASK (cts)	4.7	4.3	4.0	-7%	-14%
CASK ex-fuel (cts)	2.9	2.9	2.7	-6%	-6%
Total trip cost	11,478	11,052	11,898	+8%	+4%

Source: Company reports, RDC aviation, Bernstein estimates and analysis

EXHIBIT 3: **We see the Ryanair decision to insource engine overhauls as having an IRR of c. 23% through 2041**

Insourcing benefit detail of the CFM deal for Ryanair

	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E	2038E	2039E	2040E	2041E
Next-gen planes	218	236	255	295	345	400	455	510	565	620	675	730	785	830	840
Engines	436	472	510	590	690	800	910	1,020	1,130	1,240	1,350	1,460	1,570	1,660	1,680
Annual engine flight hours (000s)	1,526	1,652	1,785	2,065	2,415	2,800	3,185	3,570	3,955	4,340	4,725	5,110	5,495	5,810	5,880
LEAP annual shop visits	122	74	96	182	142	112	218	180	192	318	290	302	306	326	316
WITH CFM DEAL	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E	2038E	2039E	2040E	2041E
Parts cost per shop visit (\$m)			4.3	4.4	4.6	4.8	5.0	5.2	5.4	5.6	5.8	6.0	6.3	6.5	6.8
Annual inflation				4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%
Parts cost (\$m)			408	804	653	535	1,084	931	1,033	1,778	1,687	1,827	1,925	2,133	2,150
Parts cost (€m)			352	693	563	462	934	802	890	1,533	1,454	1,575	1,660	1,839	1,854
+ Shop capex (€m)			500	500	500										
+ Incremental staff cost (€m)			9	10	12	14	16	18	20	22	24	26	27	29	29
- Avoided carrying cost of additional spare engines (€m)			-20	-40	-32	-27	-54	-44	-47	-78	-72	-74	-75	-80	-78
+ Annual sustainment cost of shop (€m)			75	75	75	75	75	75	75	75	75	75	75	75	75
Total cost of own heavy shops (€m)			915	1,239	1,117	524	972	851	938	1,551	1,481	1,601	1,687	1,862	1,880
WITHOUT CFM DEAL	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E	2038E	2039E	2040E	2041E
Parts cost per shop visit (\$m)			4.3	4.6	4.9	5.3	5.6	6.0	6.4	6.9	7.4	7.9	8.4	9.0	9.7
Annual inflation				7%	7%	7%	7%	7%	7%	7%	7%	7%	7%	7%	7%
Parts cost (\$m)			412	836	698	589	1,227	1,084	1,237	2,192	2,139	2,384	2,584	2,946	3,056
Parts cost (€m)			355	721	602	508	1,058	934	1,066	1,890	1,844	2,055	2,228	2,540	2,634
+ Staff productivity penalty (€m)			11	12	14	17	19	21	24	26	28	31	33	35	35
+ Profit to the 3P MRO (€m)			55	110	92	79	162	143	164	287	281	313	339	386	400
Total cost outsourced shop (€m)			421	843	709	603	1,238	1,099	1,254	2,203	2,153	2,398	2,600	2,961	3,070
Insourcing benefit (€m)			(495)	(396)	(409)	79	267	248	316	652	672	798	913	1,098	1,190
IRR: 23%															

Source: Bernstein analysis and estimates

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DETAILS

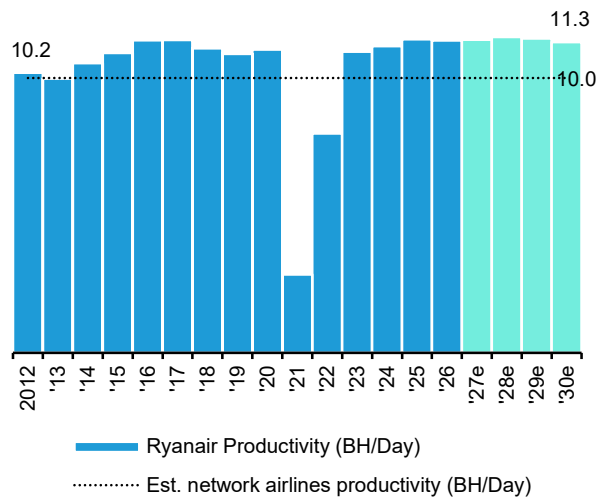
RYANAIR'S COST MASTERY: THE DATA SPEAK FOR THEMSELVES

Ryanair has been Europe's most successful airline and its biggest growth driver this century. From a small side project of an Irish leasing tycoon, it adopted the low-cost aviation model in the early 1990s. Since then, it has driven costs and fares down, and passenger volumes up, with a 19% CAGR in passengers from its IPO in 1997 to pre-pandemic. Ryanair refined the low-cost aviation model, building on, and arguably perfecting, Southwest Airlines' original principles. Its focus on high productivity, low-cost airports, a single fleet, and point-to-point routes has resulted in extremely low unit costs, comparable only to Wizz Air in Europe. In 2025, one in five intra-European seats was a Ryanair one. Its scale enhances negotiating power with suppliers, and provides resilience against localized disruptions. Even with slowing growth, high staff productivity helps maintain low costs, ensuring the business model remains resilient.

- Perfecting low-cost aviation.** Ryanair may not have invented the low-cost model — that accolade belongs to Southwest — but more than any other airline, it can claim to have perfected it. Barely straying from the factors that made it successful: high productivity, cheap airports, pure point-to-point, focus on direct distribution, etc., Ryanair has cemented its status as a — indeed, *the* — global champion of low-cost flying. Younger competitor Wizz Air is the only airline in Europe that can look Ryanair in the eye on unit cost; everyone else is miles off. In 2025, one in every five seats flown on intra-European routes was on a Ryanair plane. What is possibly less appreciated is the aptitude of the commercial side of the business: with a good network of routes and success in upselling ancillary products, Ryanair has been able to consistently generate double-digit net margins — something we expect to continue over the medium-long term.
- Growth and scale helped Ryanair find additional cost efficiencies...** Growth benefits airlines' unit costs. First, it confers on them a position of power in negotiations: with more growth to allocate, suppliers are incentivized to bid aggressively for a larger slice of this, driving down unit costs for Ryanair. This is observable in Ryanair's airport costs. Similarly, going from a minnow to one of the world's largest airlines over 20 years enabled Ryanair to secure good aircraft deals with Boeing. Now as one of the largest airlines, it still commands leverage in negotiations, though the growth rate on offer is falling. A diversified network across Europe also makes it more resilient against strikes than legacy carriers: if Ryanair's crews in one country strike, it can fly in other workers to operate the flights.
- ...and even slowing growth should not break the business model.** As Ryanair enters a period with a capacity CAGR closer to 3% than the 10% of the 2010s or 20% of the 2000s, the impact on unit cost is important to understand. Ryanair's unit cost has certainly benefited from its growth rate in the past, such as where this confers greater negotiating power on the airline with respect to suppliers (airports, handling companies, and OEMs). We could see some modest inflation in unit costs here — although growth was only ever part of the story, and the company's scale should continue to enable it to drive good deals. Larger planes, specifically the MAX-10, will also provide a disinflationary impulse to unit cost. The other area of potential concern would typically be staff. For airlines with annual pay rises in their employee contracts, growth is essential as it enables the airline to dilute this with a steady inflow of cheaper, junior employees. At Ryanair, however, these annual increases are rare and pay is a function of base, rank, and activity (more flying = more pay). We see nothing that meaningfully threatens the business model.

EXHIBIT 4: **High productivity – a key determinant of low cost...**

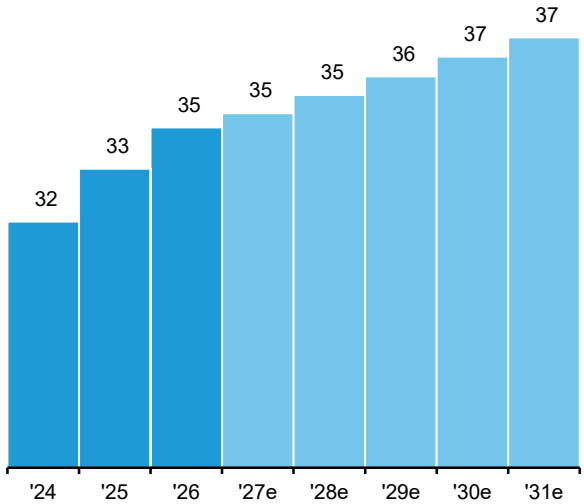
Ryanair average productivity per aircraft



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 5: **... keeping unit costs under control**

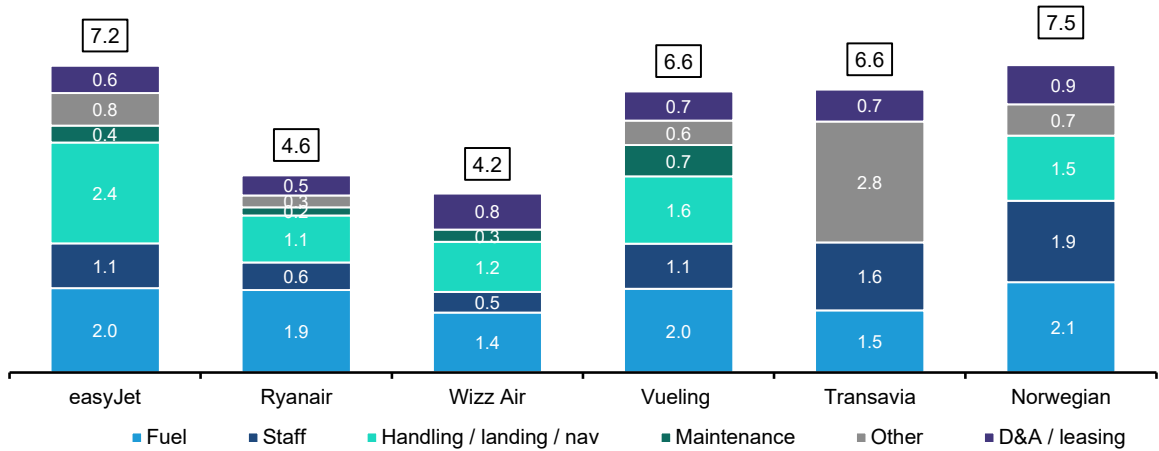
Ryanair cost per seat ex-fuel, FY 2024-'30e



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 6: **Ryanair and Wizz Air stand as unrivaled champions of low unit cost**

European point to point airlines CASK, 2025, €ct



Source: Company reports, Bernstein analysis

DEEP DIVE ON UNIT COST: WE SEE THE MAX-10 DELIVERING A 14% CASK ADVANTAGE VS THE B737 NG, AND A 7% ADVANTAGE VS THE MAX-8200

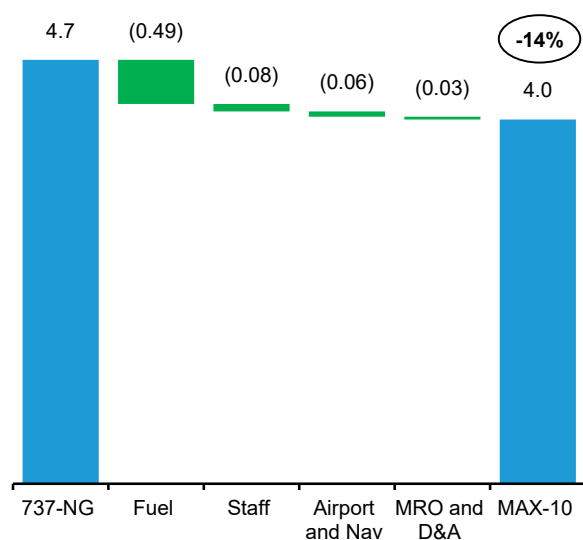
Ryanair's fleet renewal program is set to deliver meaningful cost benefits. The airline expects to begin receiving the Boeing 737 MAX-10, a larger and more fuel-efficient aircraft, in Spring 2027. Our bottom-up analysis of the aircraft types in Ryanair's fleet suggests that, relative to the current 737-NG and MAX-8200 fleets, the MAX-10 should deliver CASK reductions of 14% and 7%, respectively. Specifically, we estimate that the MAX-10 will achieve 27% lower fuel costs, 11% lower personnel costs, 1% lower airport charges, 12% lower navigation charges and 17% lower maintenance costs per ASK than the 737 NG. Depreciation per ASK is likely to be slightly higher as aircraft acquisition costs continue to rise. These benefits are mainly driven by the MAX-10's larger seating capacity and next-generation technology, reinforcing Ryanair's cost leadership position.

- The MAX-10 is larger and more fuel efficient than the current fleet: 9-17% reduction in CASK and a 16-21% boost in capacity.** Our deep-dive analysis of Ryanair's three aircraft types — the Boeing 737 NG (BERNe beginning to phase out from FY30), the Boeing 737 MAX-8200 (which Ryanair likes to call the "Gamechanger"), and the Boeing 737 MAX-10 — highlights the evolution of its fleet unit economics. We estimate that the MAX-10 delivers a 17% lower CASK than the 737 NG and a 9% lower CASK than the MAX-8200. Improved fuel efficiency and higher seat capacity are the principal drivers of this advantage. The main cost differences between the MAX-10 and the 737 NG are as follows:
 - Fuel costs: -27% per ASK.** The MAX-10 consumes 2.5 tons of kerosene per hour, compared to 2.8 tons per hour for the 737 NG. Assuming fuel prices of €800 per ton and ETS costs, our calculations indicate that the fuel CASK should be c. 27% lower for the MAX-10 versus 737 NG and 10% lower versus the 737-8200. The advanced engine technology and aerodynamics, plus higher gauge, more than offset the impact of its heavier weight. If fuel prices rise, the cost advantage increasingly favors the MAX-10.
 - Personnel costs: -11% per ASK.** This section covers pilots, cabin crew, and engineers. On medium-haul flights, two pilots are required. The MAX-10 requires five cabin crew, compared with four on the 737 NG and 737-8200, as European regulations require an additional cabin crew every time the seats increase past a multiple of 50. We assume identical numbers of engineering staff, and similar productivity and salary levels across the three fleets, although the larger MAX-10 may require slightly longer turnaround times. Our estimates indicate that the MAX-10 delivers an 11% lower staff CASK than the 737-NG and a 7% lower staff CASK than the 737-8200, primarily due to its higher seating capacity.
 - Airport charges: -1% per ASK.** Airport charges comprise landing fees and handling costs. Landing fees primarily depend on the aircraft's maximum takeoff weight (MTOW); we assume a landing fee of €4 per tonne of MTOW, reflecting Ryanair's focus on secondary, lower-cost airports. Handling costs, the largest component, are largely passenger-related and therefore scale with aircraft size. These are also influenced by the level of services used (e.g., jet bridges cost more than steps). We also include airport staffing costs, noting that Ryanair outsources some of these activities. Taken together, these factors result in airport costs per ASK that are approximately 26% lower for the MAX-10 than the 737 NG, primarily due to its higher seating capacity (-15% versus the 737-8200).
 - Navigation charges: -12% per ASK.** Navigation charges depend on the distance flown and the size of the aircraft, or more precisely the square root of the maximum takeoff weight (MTOW). We use an assumption of €0.90 per km for the B737 NG, and scale this by the ratio of the square root of the MTOWs for our assumption of €0.96 per km for the MAX-10. This results in Navigation charges per ASK 12% lower for the MAX-10 (-10% versus the 737-8200).
 - Maintenance costs: -17% per ASK.** Maintenance costs are currently elevated across the airline industry, reflecting tight capacity in the MRO market and the greater maintenance requirements associated with newer-generation aircraft. For example, Wizz Air noted in its FQ2'26 results that, given today's maintenance environment, the trade-off between operating an A320neo and an A320ceo is less straightforward than in the past. It remains to be seen whether similar dynamics will apply to the MAX-10 once it enters service. That said, the MAX-10 benefits from a more typical structural advantage: its higher ASKs spread maintenance costs over a larger capacity base, and the plane still has only two engines. We assume maintenance costs of €350 per flight hour across all three Boeing aircraft types, resulting in maintenance costs per ASK that are approximately 17% lower for the MAX-10 than for the 737 NG (-12% versus the 737-8200).
 - Selling costs: -3% per ASK.** Selling costs are mainly composed of credit card fees and GDS costs. We estimate credit card fees at 1% of total flight revenues, and GDS fees at €3 per passenger for 2% of the bookings. This puts the sales costs per ASK with a very slight advantage for the MAX-10.

- **MD&O costs in line.** MD&O costs are the rest of an airline's overhead. We assume this at €0.40 per ASK and allocate as such.
- **Depreciation: +3% per ASK.** The final cost is the ownership of the plane itself. We use an assumed 60% discount against list prices, suggesting a price of €46m for a MAX-10, €42m for a 737-8200 versus €37m for an 737 NG. We also apply a depreciation policy of 7% per year (straight line) with an assumed 4.5 flights per day. This results in a 3% higher D&A per ASK versus the 737 NG (-6% vs. the 737-8200).

EXHIBIT 7: In our assessment, MAX-10 unit costs are c.14% lower than the 737 NG...

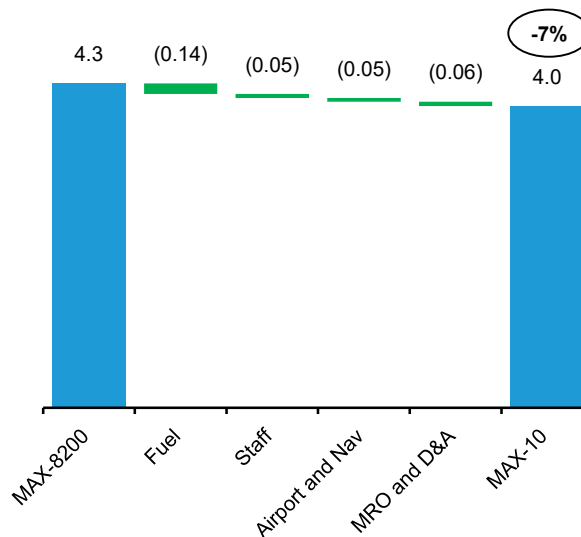
Unit cost (CASK) comparison of a MAX-10 and 737-NG at Ryanair, €ct



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 8: ... and c. 7% lower than the MAX-8200

Unit cost (CASK) comparison of a MAX-10 and a MAX-8200 at Ryanair, €ct



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EXHIBIT 9: In our assessment, the MAX-10 offers a c. 17% lower CASK than the 737-NG, a clear cost tailwind for Ryanair

Cost comparison of Ryanair narrowbodies

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Selling costs	0.1	0.1	0.1	0%	0%
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Comparison in EUR	737-NG	737-8200	737 MAX 10	MAX 10 vs 8200	MAX 10 vs NG
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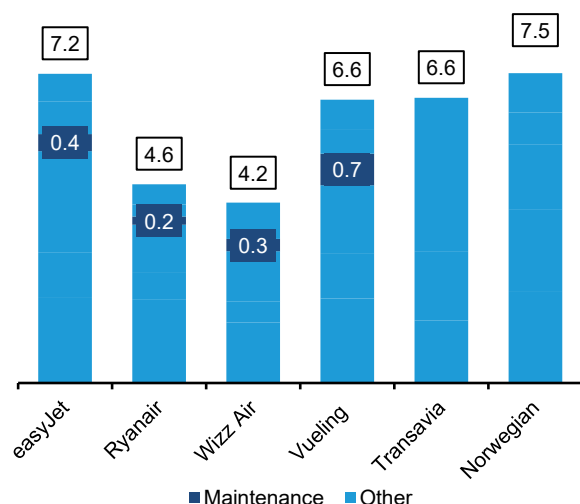
DEEP DIVE ON UNIT COST: THE CFM DEAL. I: THE DEAL

Maintenance costs are currently elevated across the airline industry, reflecting tight maintenance capacity, inflation in the cost of parts and labor, and the greater maintenance requirements associated with next-generation aircraft. To mitigate further cost increases, Ryanair recently signed a long-term agreement with CFM that combines fleet support with the progressive insourcing of engine maintenance. Under the deal, CFM will remain Ryanair's exclusive supplier of engine parts for its growing fleet of LEAP-1B engines, with annual parts purchases expected to exceed \$1bn once the airline reaches around 800 aircraft and approaches 2,000 engines. At the same time, CFM will support the development of two new Ryanair engine facilities in Europe (one scheduled for end-2028 and the other during 2029), enabling maintenance activities to gradually transition from third-party facilities to Ryanair's own shops. While this strategy will require higher upfront investment in inventory, tooling, and capabilities, Ryanair aims for this to create a structural cost advantage vs the rest of the industry by strengthening supply chain security, improving control over maintenance planning, and increasing productivity through specialization.

- The maintenance industry.** Aircraft and engine maintenance is performed at different levels of frequency and depth, ranging from routine line checks to major overhauls. While maintenance requirements are heavily regulated, airlines can still influence costs through fleet strategy and operational choices. Operating a single aircraft type helps reduce maintenance expenses through economies of scale, workforce specialization, and better supplier contracts. Ryanair, for example, performs most airframe maintenance itself, and plans to expand its in-house engine maintenance capabilities. Maintenance costs typically account for 5-15% of airline revenues. Fleet age is also important, with newer aircraft generally requiring less maintenance, while legacy carriers tend to face higher costs due to older fleets and the complexity of widebody operations. Engine shop visits remain a significant maintenance expense regardless of aircraft age.
- Ryanair's deal with CFM marks a change in maintenance strategy.** Maintenance costs are currently elevated across the airline industry, reflecting tight MRO capacity, parts and labor inflation, and the greater maintenance requirements associated with newer-generation engines. We expect maintenance costs to continue growing at above-inflation rates over the coming years. In February 2026, Ryanair signed a long-term agreement with CFM International, linked to the expansion of maintenance capacity and the development of two new engine repair facilities to mitigate cost increases. Under the agreement, CFM will remain Ryanair's exclusive engine parts supplier, with annual purchases expected to exceed \$1bn once the fleet reaches around 800 aircraft and nearly 2,000 engines. Maintenance operations will gradually shift in-house as Ryanair develops two engine overhaul facilities in Europe, with CFM supporting the transition until these shops become fully operational (one scheduled for end-2028 and the other during 2029). Ryanair's 737 NG fleet is powered by CFM56-7B engines, while the MAX-8200 and MAX-10 are powered by CFM LEAP-1B engines. As the fleet mix shifts towards the MAX family, LEAP engines will gradually become the dominant engine type within the fleet.
- Cost logic drives the decision, as always.** Moving maintenance in-house should further improve Ryanair's cost position vs the wider industry. Under the traditional power-by-the-hour (PBH) model, maintenance costs are largely variable, with airlines paying a fixed rate per flight hour while the MRO provider assumes the underlying cost and reliability risk for the metal. However, PBH pricing has become more expensive in recent years due to parts inflation, limited MRO capacity, and increased engine maintenance demand. By bringing engine maintenance in-house, Ryanair will replace part of this variable cost with a fixed-cost infrastructure, including facilities, tooling, staff, and spare parts inventories. Given its scale and standardized fleet that requires specialization, and greater control over shop-visit planning, Ryanair should be able to achieve better operational performance, avoid industry bottlenecks, and achieve lower unit maintenance costs. Management has indicated that in-house maintenance delivers productivity around 20% better than that achieved through third-party MRO providers.

EXHIBIT 10: **Ryanair's maintenance costs are Europe's lowest**

European point to point airlines CASK, 2025 €cts

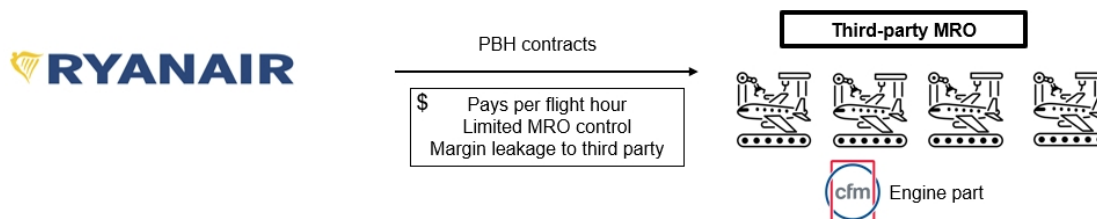


Transavia, Norwegian not disclosed

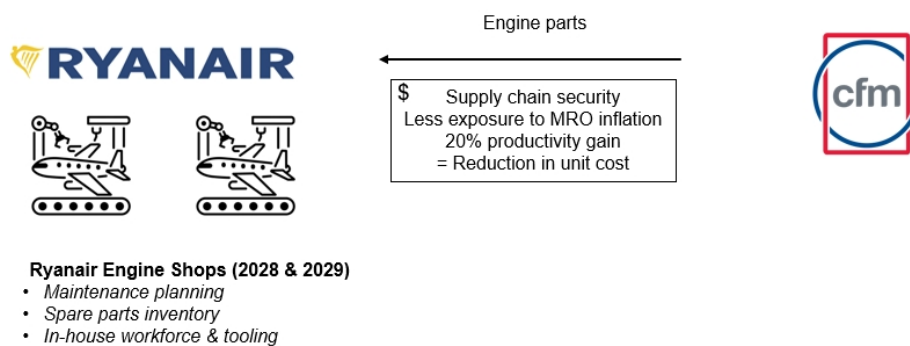
Source: Company reports, Bernstein analysis

EXHIBIT 11: **The deal: CFM remains the supplier, while MRO shifts in-house**

Before 2029: Outsourced engine maintenance



From 2029: In-house engine MRO with CFM parts



Source: Bernstein analysis

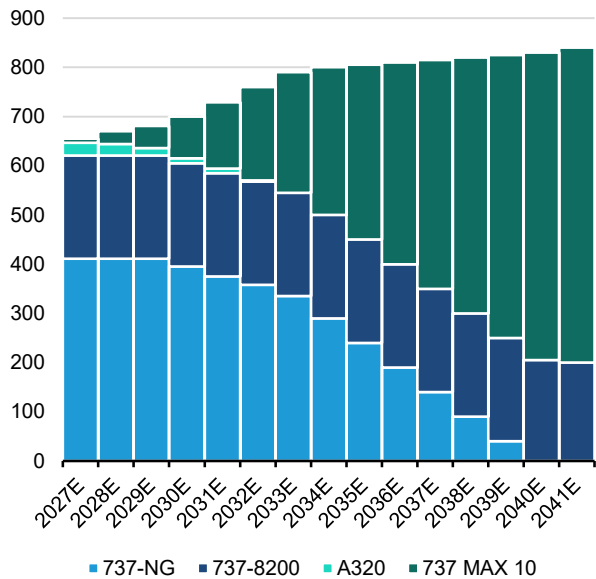
DEEP DIVE ON UNIT COST: THE CFM DEAL. II: ECONOMICS

We estimate the benefit of Ryanair's CFM agreement by modeling future LEAP shop visits based on fleet growth, aircraft utilization and engine maintenance cycles. We then compare an insourced model, which requires around €1.5bn of shop investment but benefits from higher productivity, lower spare-engine needs and better cost control, with an outsourced PBH model, where maintenance inflation remains higher and cost control is lower, and there must be a consideration for the profit margin of the third party MRO. While both scenarios generate costs of around €1bn through 2029-33, the gap widens over time as outsourcing costs exceed €2.5bn versus below €2bn for insourcing. Overall, we estimate the CFM deal could unlock €600m-€1bn+ of annual savings over time, driven mainly by lower parts inflation, productivity gains and reduced spare-engine requirements.

- How many shop visits will the LEAP-1Bs need?** One of the most important variables in calculating the insourcing benefit to Ryanair from its CFM deal is the number of shop visits that will be required. We estimate this as follows. First, we take the existing Ryanair fleet plan for 800 aircraft by 2034, and extend it further with an assumed top-up order for the MAX-10 that sees this rise to 840 next-gen aircraft by 2041. We assume the average plane produces 3,500 flight hours per year, equivalent to around 9.5 flying hours per day. Assuming roughly 2 hours of taxi time, this translates into around 11.5 hours of daily aircraft utilization, in line with Ryanair operations. The next variable relates to the timing of shop visits: for the LEAP-1B, the first occurs after c. 10,000 cycles / 20,000 flight hours for at Ryanair's typical stagelength, and then every additional 5,000 cycles / 10,000 flight hours. Using these inputs, we derive annual LEAP -1B shop visits, growing from around 100 in the first five years to more than 200 thereafter and eventually reaching 300+ in 2040. Our conversations with Ryanair indicate that each shop could handle around 150 shop visits per year, and we assume productivity improvements and efficiency gains will allow Ryanair to perform slightly more than 300 shop visits per year by that time.
- Insourcing requires upfront capex, which should pay off over time.** With the CFM deal coming in, we look at the following moving parts: parts inflation, staff and productivity impacts, shop capex, and spare engine needs. For simplicity, we use a total cash cost approach rather than splitting capex and opex. We assume a cost of \$4.3m per shop visit, with 2029 as the first year of operation as the first shop should be ready by the end of 2028 and the second during 2029. For the insourced model we assume parts cost inflation of 4%, and use a USD/EUR FX rate of 1.16. We reach a run rate \$1bn parts cost by 2033. We further assume shop capex to be split into three tranches of €500m between 2029 and 2031. We further include Incremental staff costs for engineers, and savings from a lower number of spare engines required due to faster turnaround times. We also include an annual shop maintenance cost of €75m (5% of total shop capex) is also included. The total cost starts at close to €1bn the first 5 years, ramping up to €1.5bn+ in the second half of the 2030s as shops scale up and visits multiply. While it requires more investment upfront, costs are increasingly driven by the growing number of engines and inflation over the later years.
- Outsourcing: no upfront investment, but higher rates of inflation would add long run cost.** We expect that the cost for Ryanair of maintaining its previous system under PBH contracts would be higher overall. We assume the same starting point of a \$4.3m cost per shop visit in 2029, but apply a higher annual price increase of 7% annually (4% inflation plus 3% maintenance inflation), reflecting lower control over costs as maintenance remains outsourced and capacity gets even tighter. We use the same FX rate and also incorporate the impact of lower staff productivity (-20% versus the insourced model) and longer turnarounds requiring more spare engines. The third party MRO would also need to make a profit, which we estimate at a 15% margin. This results in costs of around €1bn between 2029 and 2033, but rising to more than €2.5bn in the later years.
- Bottom line: we view the deal as offering an 23% IRR.** It would be extremely unlikely Ryanair to sign a deal that increases its cost. Engine maintenance costs are likely to rise in either future due to more expensive LEAP engines, inflation, ever-tighter capacity and stricter environmental requirements. The real question, however, is whether it experiences a net saving through insourcing or outsourcing. In our assessment, parts costs are the main driver of the difference: we see the CFM agreement is likely to provide lower inflation, greater operational control, and lower overall inflation. Ryanair's strategy should result in a lower unit-cost trajectory than the industry. Productivity gains should also work in its favor. All in all, we estimate the CFM deal could unlock €600m-€1bn+ of annual savings over time, and the deal and associated shop capex look to provide a c. 23% IRR.

EXHIBIT 12: **Ryanair's fleet transitioning to an all-8200/ MAX-10 fleet**

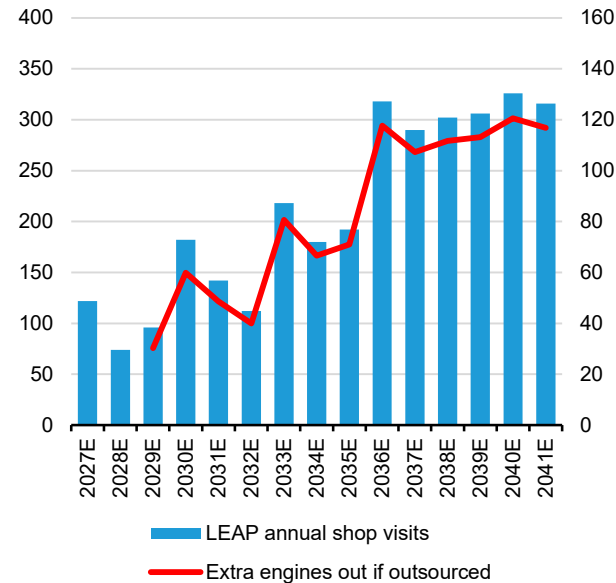
Ryanair's fleet evolution



Assuming continuation of MAX-10 deliveries, however a next-generation airframe is a possibility
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 13: **LEAP shop visits are rising, but the CFM deal helps offset the impact**

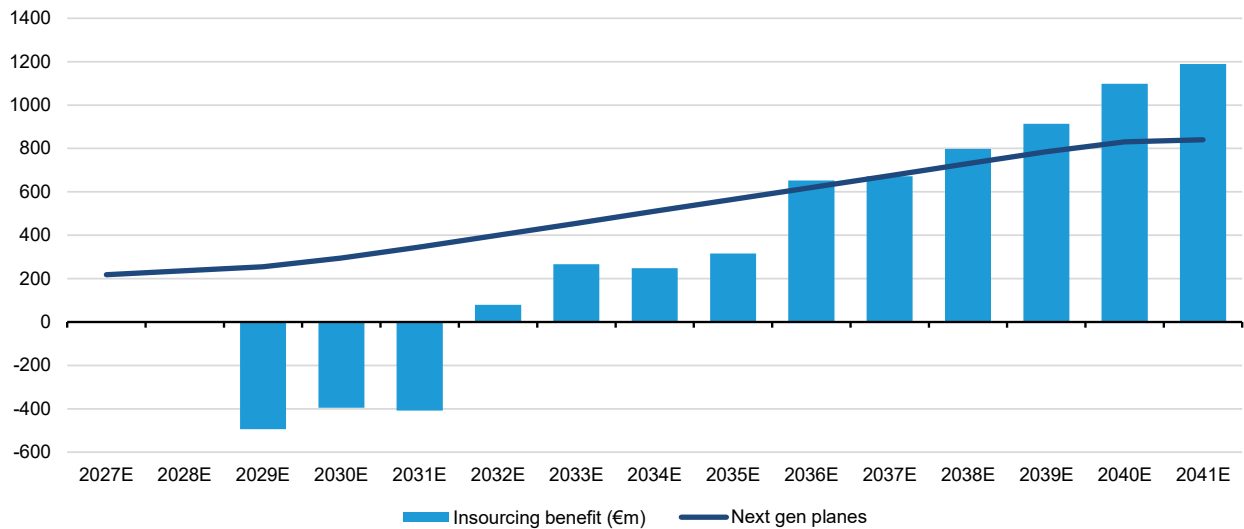
Annual shop visits and extra engines needed if outsourced



Source: Bernstein analysis and estimates

EXHIBIT 14: **MRO insourcing benefit compounds as the LEAP fleet scales**

MRO insourcing benefit compounds as the LEAP fleet scales



Source: Insourcing benefit of the CFM deal for Ryanair, EURm

EXHIBIT 15: We see the Ryanair decision to insource engine overhauls as having an IRR of c. 23% through 2041

Insourcing benefit detail of the CFM deal for Ryanair

	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E	2038E	2039E	2040E	2041E
Next-gen planes	218	236	255	295	345	400	455	510	565	620	675	730	785	830	840
Engines	436	472	510	590	690	800	910	1,020	1,130	1,240	1,350	1,460	1,570	1,660	1,680
Annual engine flight hours (000s)	1,526	1,652	1,785	2,065	2,415	2,800	3,185	3,570	3,955	4,340	4,725	5,110	5,495	5,810	5,880
LEAP annual shop visits	122	74	96	182	142	112	218	180	192	318	290	302	306	326	316
WITH CFM DEAL	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E	2038E	2039E	2040E	2041E
Parts cost per shop visit (\$m)			4.3	4.4	4.6	4.8	5.0	5.2	5.4	5.6	5.8	6.0	6.3	6.5	6.8
Annual inflation				4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%
Parts cost (\$m)			408	804	653	535	1,084	931	1,033	1,778	1,687	1,827	1,925	2,133	2,150
Parts cost (€m)			352	693	563	462	934	802	890	1,533	1,454	1,575	1,660	1,839	1,854
+ Shop capex (€m)			500	500	500										
+ Incremental staff cost (€m)			9	10	12	14	16	18	20	22	24	26	27	29	29
- Avoided carrying cost of additional spare engines (€m)			-20	-40	-32	-27	-54	-44	-47	-78	-72	-74	-75	-80	-78
+ Annual sustainment cost of shop (€m)			75	75	75	75	75	75	75	75	75	75	75	75	75
Total cost of own heavy shops (€m)			915	1,239	1,117	524	972	851	938	1,551	1,481	1,601	1,687	1,862	1,880
WITHOUT CFM DEAL	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E	2038E	2039E	2040E	2041E
Parts cost per shop visit (\$m)			4.3	4.6	4.9	5.3	5.6	6.0	6.4	6.9	7.4	7.9	8.4	9.0	9.7
Annual inflation				7%	7%	7%	7%	7%	7%	7%	7%	7%	7%	7%	7%
Parts cost (\$m)			412	836	698	589	1,227	1,084	1,237	2,192	2,139	2,384	2,584	2,946	3,056
Parts cost (€m)			355	721	602	508	1,058	934	1,066	1,890	1,844	2,055	2,228	2,540	2,634
+ Staff productivity penalty (€m)			11	12	14	17	19	21	24	26	28	31	33	35	35
+ Profit to the 3P MRO (€m)			55	110	92	79	162	143	164	287	281	313	339	386	400
Total cost outsourced shop (€m)			421	843	709	603	1,238	1,099	1,254	2,203	2,153	2,398	2,600	2,961	3,070
Insourcing benefit (€m)			(495)	(396)	(409)	79	267	248	316	652	672	798	913	1,098	1,190
IRR: 23%															

Source: Bernstein analysis and estimates

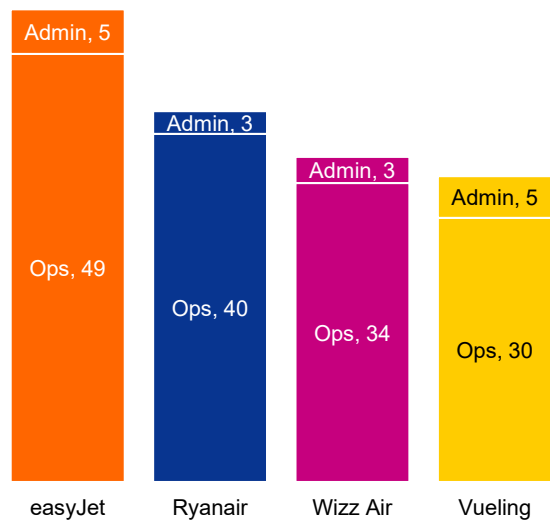
DEEP DIVE ON UNIT COST: LABOR COST UNDER CONTROL, TODAY AND IN THE FUTURE

Ryanair's tight grip on labor costs shows no signs of loosening. Labor is one of the most significant costs for airlines, typically account for 15-25% of revenue. Ryanair's labor cost benefits from high employee productivity, a single-type fleet, and a pay model largely linked to role, activity and base location rather than binding Ryanair to automatic annual increases. Its diversified network and multinational workforce reduce the operational threat from local labor disputes that periodically impact legacy airlines, while renewals of collective labor agreements have begun, including in Ryanair's largest country (Italy), reinforcing industrial relations stability. Combined with continued growth and high aircraft utilization, these factors should help Ryanair maintain its structural labor cost advantage, and we see little that would materially undermine the business model.

- Airlines are labor-intensive, and Ryanair staff costs is among the lowest.** LCCs spend around 10-15% of revenues on labor, while legacy airline staff costs are typically 20%+ of revenue. By far the most impactful employee group for staff cost is pilots, given the high salaries they command. High productivity (i.e. annual flight hours per pilot) is important in getting unit costs down here. This is facilitated, among other factors, by operating fewer aircraft types in a simpler fleet; pilots are trained to fly a certain kind of plane. Geographic differences also play a role, as operations in regions with lower labor costs can reduce overall expenses. In contrast, cabin crew costs offer limited operating leverage; larger aircraft require more attendants, and non-flying staff costs depend on regional practices and whether functions like handling or maintenance are insourced or outsourced. Ryanair and Wizz Air are the undisputed champions of low-cost flying in Europe, with the lowest staff costs in the industry at just €0.5ct to €0.6ct per ASK, while other point to point carriers are between €1ct and €2ct.
- Salary and productivity levels matter.** Pilot costs typically represent the majority of airline staff costs due to their high salaries. At Ryanair, for example, we expect that account for around 70% of total labor costs, likely towards the upper end in Europe. Entry-level pilots often earn between €40,000 and €90,000, while captains typically start at around €150,000. Along a typical pilot career path, pay levels increase at all airlines. Several factors impact staff cost, and can be split into pay and productivity factors. Pay for an individual pilot is shaped by three factors: rank (captain > first officer), base (pilots in bases with a higher cost of living are paid more) and productivity (the more a pilot flies, the more they earn). On top of all this is the actual employment contract that determines wages. Productivity also determines staff cost. Legally, pilots are limited to 900 flight hours per year, and the closer an airline operates to this threshold, the lower its unit staff costs should be. At high-productivity airlines such as Ryanair, pilots can fly over 800 hours annually, while at legacy groups the figure is often much lower. Fleet complexity also matters here. With a single cockpit type, all pilots can operate all aircraft. The greater the number of aircraft types, the lower productivity tends to be, and the higher training costs become, as retirements, promotions, and staff turnover require additional type ratings. Comparing Europe's four largest point to point airlines reveals easyJet to have the highest number of employees per plane, strongly indicating low productivity. Ryanair has more than Wizz or Vueling, but investors should bear in mind that Ryanair extensively insources functions such as maintenance and ground handling. This gives it more control over these important drivers of operational performance but inflates headcount.
- Ryanair has a labor model built to last.** Ryanair is well known for its relentless focus on costs, and labor costs are no exception. The old perception of Ryanair as anti-union is well out of date: it recognized its first pilot union in December 2017 and now has unions in its major markets. However, an advantage of its network means the influence that unions can wield is far lower than at network airlines. If, say, Lufthansa's German pilots strike, there are huge cancellations. If a single country in Ryanair's network strikes, management can redeploy pilots and cabin crew from other countries, reducing or even completely eliminating disruption to passenger traffic. More recently, agreements signed in Italy — Ryanair's largest market by seat capacity, accounting for around 30% of the network — further enhance stability in industrial relations. Ryanair's union contracts also bind employees to high productivity, and do not typically contain statutory inflationary annual pay increases as a function of tenure.

EXHIBIT 16: **Major European point to point airlines have between 35 and 54 employees per plane, with Ryanair's insourced model (handling, maintenance) elevating its ratio**

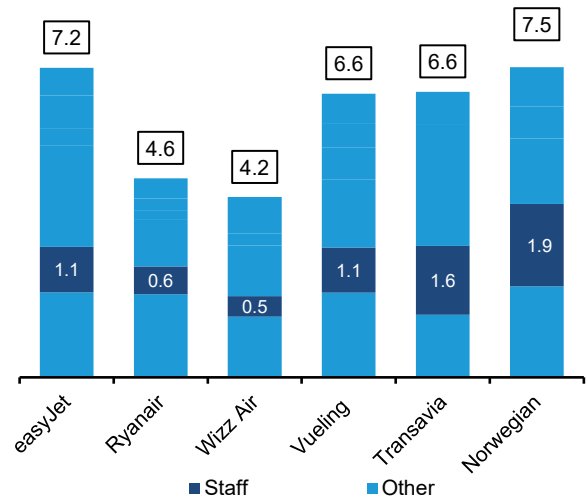
Employees per plane, European point to point airlines



Source: Company reports, Bernstein analysis

EXHIBIT 17: **Ryanair consequently has among the lowest unit staff costs in European airlines**

European point to point airlines CASK, 2025 €cts



Source: Company reports, Bernstein analysis

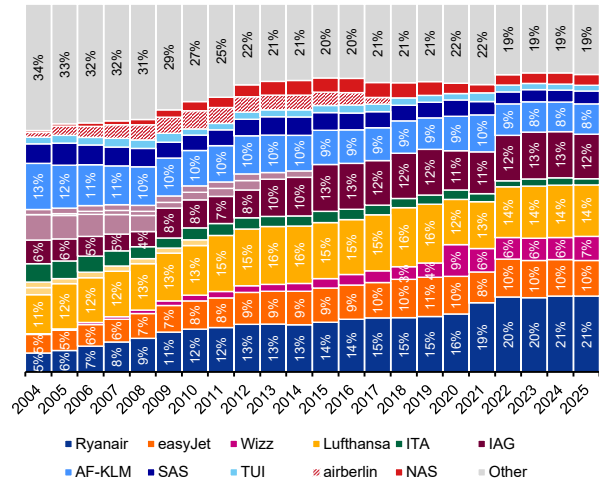
DEEP DIVE ON UNIT COST: AIRPORTS INCENTIVES ARE HERE TO STAY

Airport and handling charges are the third major component of operating costs. These costs are incurred between flights, as aircraft land, are prepared for their next departure, and take off again. Ryanair enjoys the lowest airport costs per ASK in Europe, benefiting from attractive airport incentives, a focus on less congested airports, and strong bargaining power derived from its scale and ability to stimulate passenger traffic. Moreover, its extensive network allows it to redeploy capacity quickly to airports and countries offering the most attractive economics, further strengthening its negotiating position. In addition, Ryanair has consistently demonstrated a disciplined and opportunistic approach to network steering, shifting capacity away from higher-cost markets such as France, Belgium and Germany towards lower-tax and more airport-friendly countries including Italy, Sweden, Hungary, Slovakia and Albania. Combined with its history of counter-cyclical expansion into the markets of weaker competitors, this creates a virtuous circle: more seats generate more traffic, which in turn attracts greater incentives and further reinforces Ryanair's industry-leading airport cost advantage.

- Airport and handling charges constitute a large cost item, particularly for point-to-point airlines that fly shorter routes.** Airport and handling costs are related, but different. Airports levy fees for landing at / taking off from airports, and using services such as security screening. Handling describes everything that happens to the plane on the ground: offloading and loading bags, ramp service, draining waste, restocking catering, cleaning etc, as well as check-in and gate agents. These are only incurred between flights; so all else equal, the longer the flight, the lower the handling costs should be as a share of revenue. For airport costs, the choice of airport matters. Congested and slot-constrained airports are more expensive to serve than less busy ones, as the latter will often offer incentives to airlines to boost traffic to the airport – explaining Ryanair's very low airport costs. Additionally, airlines can choose to operate from secondary / satellite terminals, use fewer services such as air bridges, or insource some elements of handling. The majority of airport and handling costs is driven by passenger numbers, though a smaller fraction relates to elements such as landing charges, a component of which is often a function of the aircraft's maximum takeoff weight (MTOW).
- Ryanair enjoys the lowest airport unit costs in Europe, despite shorter stagelength than Wizz.** Ultra-low-cost carriers have created a highly competitive market among airports for their capacity. Airports generate revenue not only from airlines, but also from sources such as parking, retail concessions, and food & beverage sales. Higher passenger traffic therefore creates value for airports beyond aeronautical charges. Beyond this, many airports are owned by national or regional governments, which care about employment at the airport and supported by aviation (e.g. in tourism-related industries). Ryanair, in particular, has leveraged this dynamic to negotiate lower landing and handling fees. As a result, it enjoys the lowest airport-related costs in Europe, with Wizz Air close behind, for costs that typically represents 20-25% of revenue (including navigation). By contrast, easyJet, Vueling, Norwegian and likely Transavia face higher charges due to their greater exposure to primary airports, where fees tend to be higher and incentive schemes less generous. Navigation charges should be broadly similar across airlines, as they are largely determined by the countries flown over and MTOW. We include them primarily for benchmarking purposes.
- The bigger the capacity growth, the bigger the incentive.** The carrier's scale gives it a significant advantage when negotiating with airports. While the same airport incentive schemes are, by law, available by law to all airlines, Ryanair is often the largest carrier by passenger volume and has a proven track record of stimulating traffic growth. Airports are frequently willing to offer attractive discounts and incentive packages to secure additional capacity, and the larger the airline, the bigger the potential incentive. Ryanair has also consistently positioned capacity in markets with the most favorable access costs and tax regimes, as these flow directly through to the P&L. Given its extensive network and ability to redeploy aircraft quickly, Ryanair enjoys considerable bargaining power. More recently, the airline has reduced capacity in higher-cost markets such as France, Belgium and Germany, while increasing exposure to more tax-friendly countries including Sweden, Hungary, Italy, Slovakia and Albania. While most airlines only announce when they open a route, Ryanair is equally keen to highlight where rising costs are resulting in falling capacity: an example to others, a warning shot not to follow the same path.

EXHIBIT 18: **Ryanair is the largest airline by seats intra-Europe...**

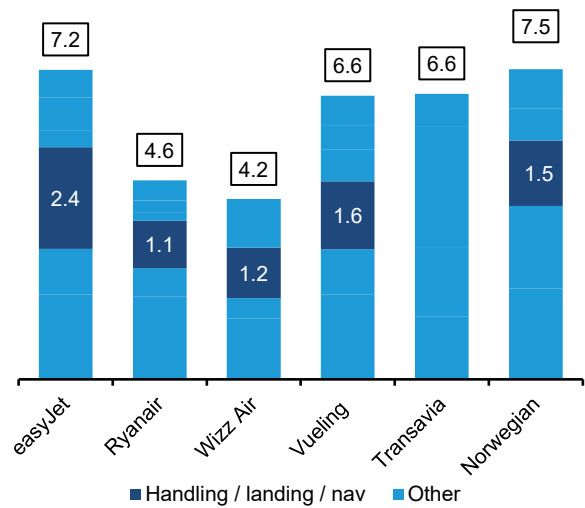
Intra-EU Market Share by Airline, in seats



Source: SRS, Bernstein analysis

EXHIBIT 19: **... and that scale helps it to extract incentives from airports**

European point to point airlines CASK, 2025, €ct



Not separately reported at Transavia
Source: Company reports, Bernstein analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	9 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
AF.FP (Air France-KLM)	M	EUR	13.08	12.40	3.7%	EUR	6.68	2.80	3.55	2.0	4.7	3.7
LHA.GR (Deutsche Lufthansa)	M	EUR	9.33	10.00	9.4%	EUR	1.11	0.34	1.37	8.4	27.6	6.8
EZJ.LN (easyJet)	M	GBp	588.20	660.00	11.5%	GBP	0.67	0.34	0.45	8.8	17.2	13.1
IAG.LN (IAG)	O	GBp	466.30	550.00	9.6%	EUR	0.65	0.67	0.79	8.4	8.2	6.9
RYAAY (Ryanair)	O	USD	64.15	79.00	(10.6)%	USD	4.93	4.79	5.25	13.0	13.4	12.2
RYA.ID (Ryanair)	O	EUR	26.60	32.50	(6.5)%	EUR	2.16	2.09	2.30	12.3	12.7	11.6
WIZZ.LN (Wizz Air)	M	GBp	1,173.00	1,400.00	(4.9)%	EUR	0.02	(5.24)	(1.78)	773.6	(2.6)	(7.7)
EDME			1,593.41									
SPX			7,575.39									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

WIZZ.LN estimate is Reported EPS; WIZZ.LN valuation is Reported P/E (x); RYA.ID, WIZZ.LN base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**Air France-KLM**

We value Air France-KLM at 7.8x FY'28 EV/EBIT, calibrated with a terminal EV/IC analysis. On our EBIT forecast of €2.4bn, this yields our TP of €12.40. We rate the company Market-Perform.

Deutsche Lufthansa AG

We value Lufthansa at 6.4x FY'28 EV/EBIT. This yields our TP of €10.00. We rate the company Market-Perform.

easyJet PLC

We value easyJet at 10x FY+2 P/E, and then add a premium to reflect the possibility of a successful bid for easyJet in the near future. On our forecast of £0.61 EPS in 2028, this yields a target price of GBp 660. We rate easyJet Market-Perform.

International Consolidated Airlines Group SA

We value IAG at 5.8x FY'28 EV/EBIT on our EBIT forecast of €5.6bn. This yields our TP of £5.5. We rate IAG Outperform.

Ryanair Holdings PLC

We value Ryanair at 9.5x FY+2 EV/EBIT. On our forecast of €3.0 bn EBIT in 2029, this yields a target price of €32.50. The ADR target price is translated using the current ratio of the price of the ADR to the price of the ordinary shares. We rate the company Outperform.

Wizz Air Holdings Plc

We value Wizz Air at 12.4x EV/EBIT on FY'29, and rate the stock Market-Perform with a target price of £14.

RISKS**Air France-KLM**

The **greatest upside risks** to our PT are:

- Cheaper fuel
- Stronger fares
- Rising ancillary sales

The **greatest downside risks** to our PT are:

- More expensive fuel
- Weaker fares
- Ancillary initiatives failing
- French political disruption

Deutsche Lufthansa AG

The **greatest upside risks** to our TP are:

- Higher yields
- Cheaper fuel
- Stronger macroeconomic trends

The **greatest downside risks** to our TP are:

- Lower yields
- More expensive fuel
- Weaker macroeconomic trends

easyJet PLC

The key **upside** risks to our PT are:

- Successful bid for easyJet
- Falling unit cost
- Stronger fares and yields from both softer demand and higher capacity
- Higher-than-expected ancillary sales upside with in-flight retail initiatives
- Better-than-expected Holidays performance

The key **downside** risks to our PT are:

- Rising unit cost
- Weaker fares and yields from both softer demand and higher capacity
- Lower-than-expected ancillary sales upside with in-flight retail initiatives
- Worse-than-expected Holidays performance

International Consolidated Airlines Group SA

The **key downside risks** to our TP are:

- Weaker yields
- More expensive fuel
- Weaker macroeconomic trends

- UK government successfully builds third runway at Heathrow

Ryanair Holdings PLC

The **greatest downside risks** to our TP are:

- Weaker fares
- More expensive fuel
- Weaker macroeconomic trends

Wizz Air Holdings Plc

The **greatest upside risks** to our PT are:

- Stronger fares
- Cheaper fuel
- Further government action to constrain flying or increase taxation on it

The **greatest downside risks** to our PT are:

- Weaker fares
- More expensive fuel
- Further government action to constrain flying or increase taxation on it

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

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Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

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- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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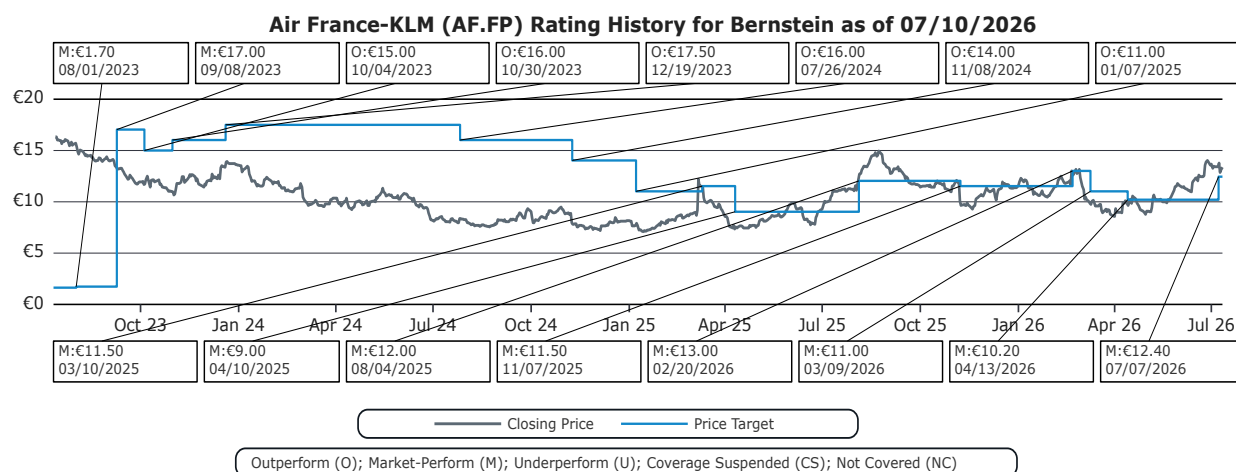
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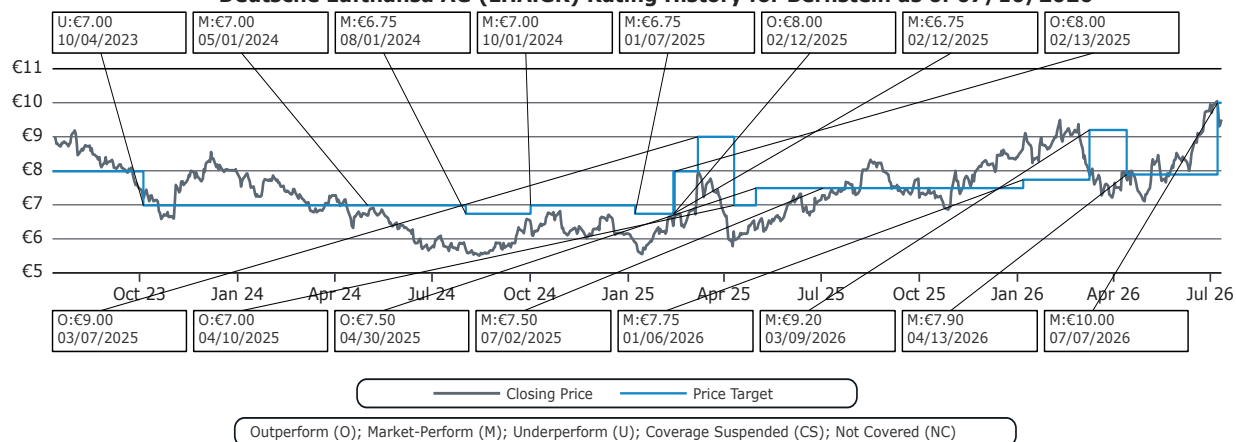
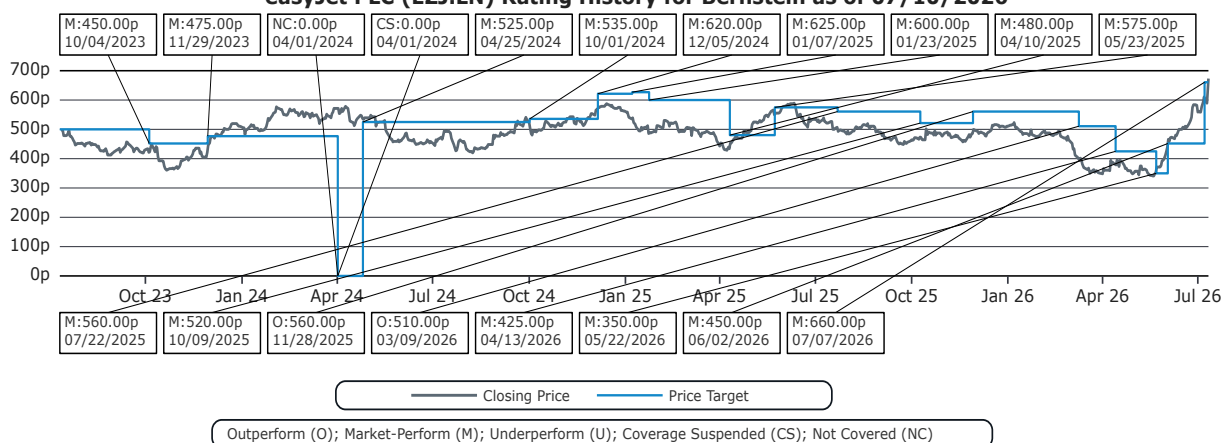
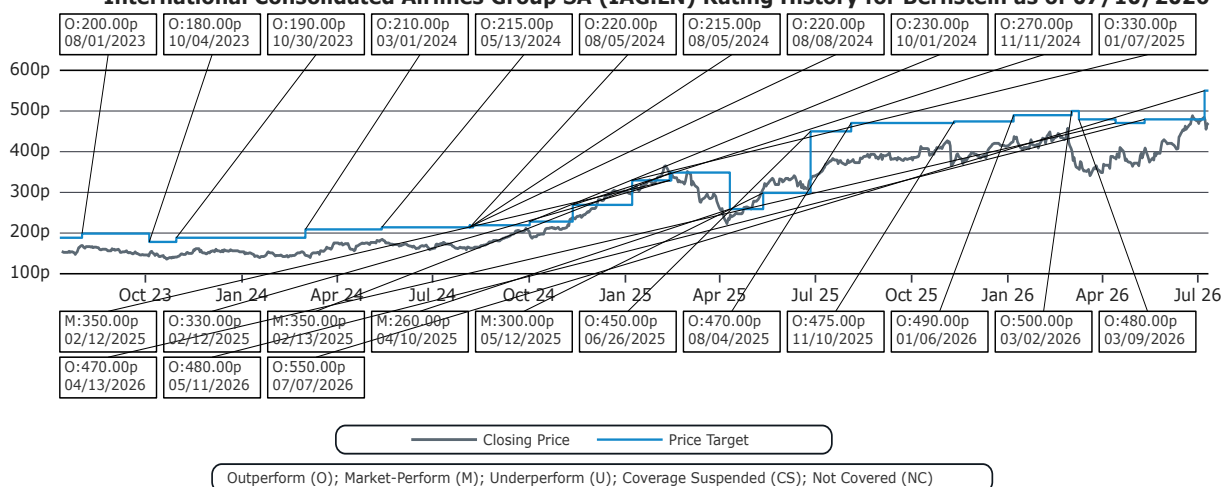
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

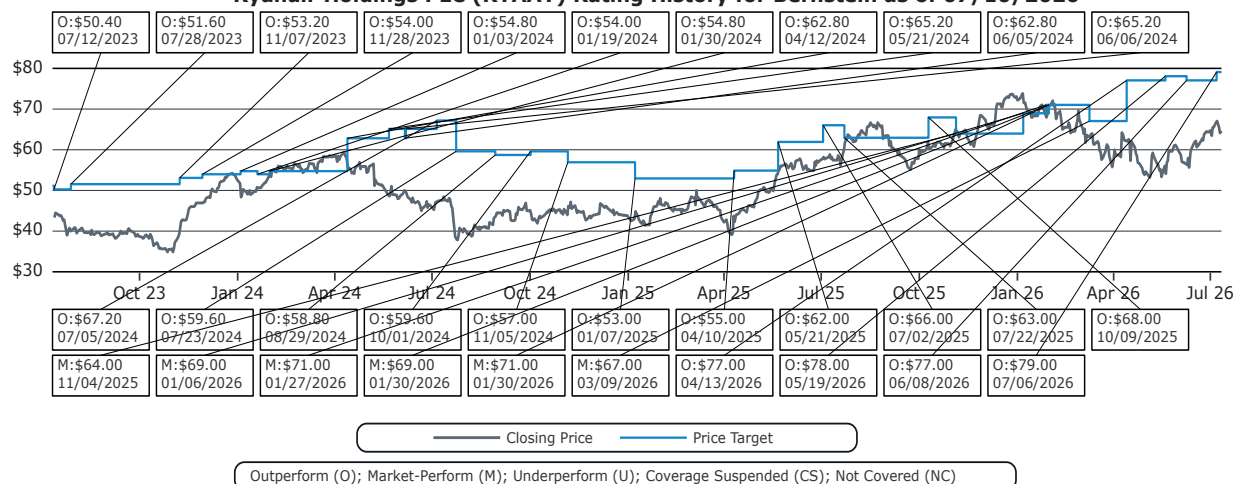
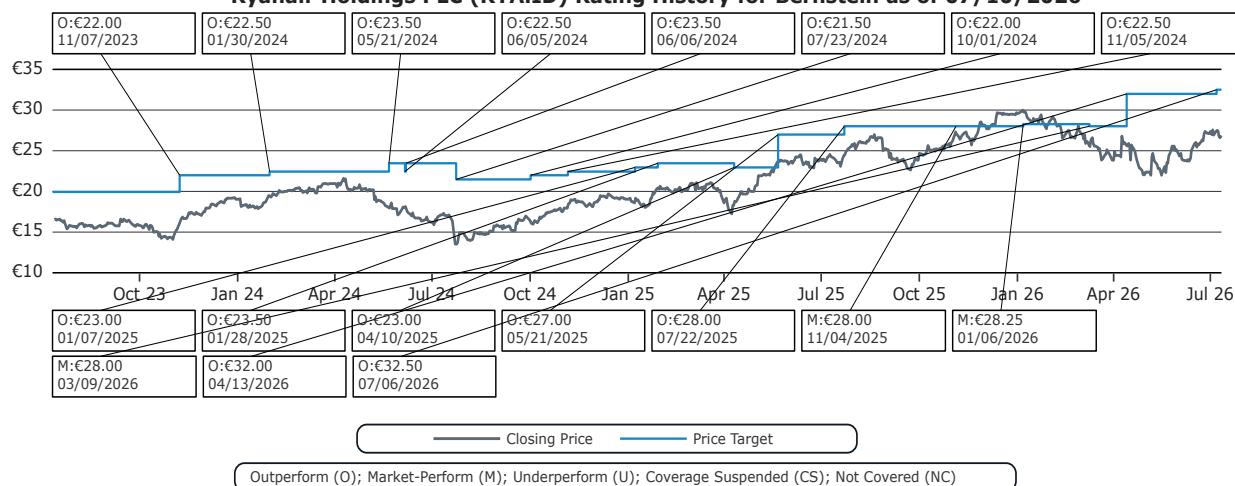
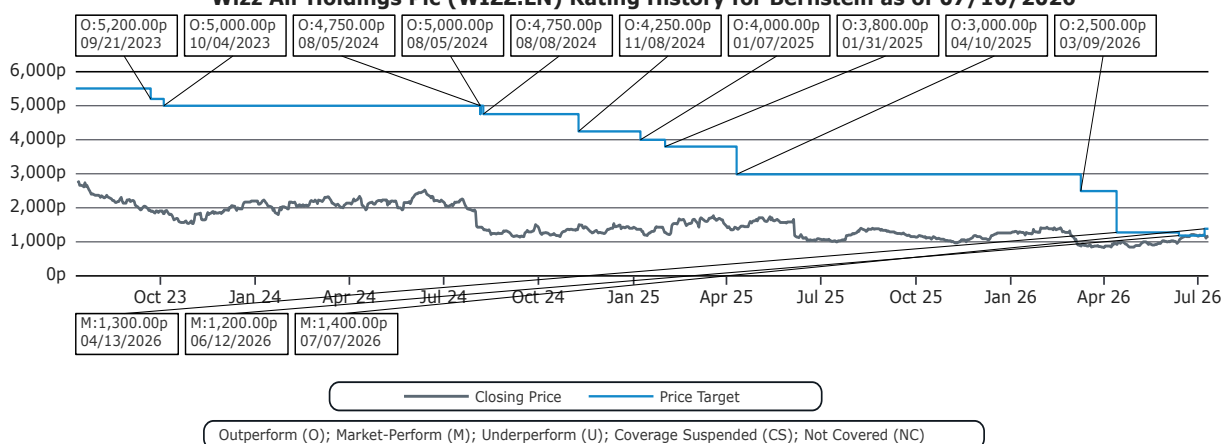
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As of June 30, 2026. All figures are updated quarterly.

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